

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT ("Lease") is made as of August 20, 2024, by and between **BAY AREA COMMERCIAL PROPERTIES**, a California limited partnership ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

- A. Landlord owns Bay Plaza Shopping Center, a premier 580,000 square foot lifestyle center in San Francisco, California.
- B. Tenant is a leading national retailer seeking to establish a flagship supercenter presence in the Bay Area market.
- C. The Premises consist of a newly constructed anchor pad specifically designed for Tenant's prototype.
- D. This location will serve as Tenant's Northern California flagship and technology showcase store.

ARTICLE 1 - BASIC LEASE PROVISIONS

1.1 Fundamental Terms

Lease Parameter	Details
Landlord:	Bay Area Commercial Properties
Tenant:	Skyline Stores
Guarantor:	Skyline Stores Holdings, Inc.
Premises:	42,000 SF new construction anchor
Store Number:	S010
Address:	789 Bay Boulevard, San Francisco, CA 94103
Center Name:	Bay Plaza Shopping Center
Tenant's Share:	7.24% (42,000 ÷ 580,000)
Lease Term:	Five (5) years
Delivery Date:	July 1, 2024
Commencement Date:	September 10, 2024
Rent Commencement:	September 10, 2024
Expiration Date:	September 9, 2029
Security Deposit:	\$294,000 (reducing LC)
Brokers:	JLL (Landlord) / CBRE (Tenant)

1.2 Base Rent Schedule

Lease Year	Dates	Monthly Base Rent	Annual PSF
Year 1	9/10/24 - 9/9/25	\$147,000.00	\$42.00
Year 2	9/10/25 - 9/9/26	\$154,350.00	\$44.10
Year 3	9/10/26 - 9/9/27	\$162,068.00	\$46.31
Year 4	9/10/27 - 9/9/28	\$170,171.00	\$48.62
Year 5	9/10/28 - 9/9/29	\$178,679.00	\$51.05

1.3 Construction Timeline

- Shell Delivery: July 1, 2024
- Tenant Work Start: July 5, 2024
- Substantial Completion: September 1, 2024
- Grand Opening: September 10, 2024

ARTICLE 2 - PREMISES AND TERM

2.1 Grant of Lease

Landlord demises to Tenant the newly constructed Premises consisting of:

- 42,000 SF single-story anchor building
- Dedicated parking field (210 spaces minimum)
- Exclusive truck dock and service area
- Monument sign pad at entry
- Garden center pad (10,000 SF outdoor)
- Technology showcase area (2,000 SF)

2.2 Term

Five (5) years commencing September 10, 2024, with opening required within 10 days of Commencement.

2.3 Renewal Options

Three (3) options of five (5) years each:

- Notice: 12 months prior
- Rent: Greater of 102% prior rent or FMV

- FMV Process: Broker determination
- Minimum annual increases: 2.5%

2.4 Shell Delivery Condition

Landlord delivers cold shell per **Exhibit B**:

- Structural steel frame complete
- Roof deck and membrane
- Exterior walls (tilt-up concrete)
- Concrete slab (6" reinforced)
- Site work complete
- Utilities to building pad

ARTICLE 3 - RENT AND CHARGES

3.1 Base Rent

Per schedule above. San Francisco premium location pricing reflects:

- High barrier to entry market
- Limited new retail development
- Affluent demographics
- Technology sector presence

3.2 Percentage Rent

2% of Gross Sales exceeding:

- Year 1: \$25,000,000
- Year 2: \$26,250,000
- Year 3: \$27,563,000
- Year 4: \$28,941,000
- Year 5: \$30,388,000

3.3 Operating Expenses

Estimated Year 1: \$7.25 PSF Includes:

- Professional property management

- 24/7 security services
- Common Area maintenance
- Landscaping and irrigation
- Insurance premiums
- Marketing and events
- Sustainability programs

Annual Cap: 5% on controllable expenses

3.4 Taxes

Estimated Year 1: \$6.50 PSF

- Includes Prop 13 assessments
- Special assessments passed through
- Tax appeals at Landlord discretion
- Tenant may request appeals

3.5 Marketing

Regional Marketing Fund: \$0.75 PSF **Digital Innovation Fund:** \$0.25 PSF

- Bay Area advertising
- Tech sector partnerships
- Social media campaigns
- Community events

3.6 Common Area Utilities

Pro rata share of:

- Parking lot lighting (LED)
- EV charging stations
- Common Area HVAC
- Water features/irrigation
- Security systems

ARTICLE 4 - USE AND OPERATIONS

4.1 Permitted Use

Skyline Stores Supercenter featuring:

- Full retail supercenter
- Technology showcase/demo area
- Grocery with organic focus
- Pharmacy and health clinic
- E-commerce fulfillment hub
- Sustainable products section
- Local vendor marketplace

4.2 Operating Covenant

Required Hours:

- Monday-Saturday: 8 AM - 10 PM
- Sunday: 9 AM - 9 PM
- Extended holiday hours
- 24/7 pickup locker access

Staffing: Minimum 150 FTE employees

4.3 Exclusive Use

Five-year exclusive on:

- General merchandise >25,000 SF
- Supercenter format
- One-stop shopping concept
- Mass merchant operation

Remedies: Reduced rent to 60% during violation

4.4 Prohibited Uses

- Warehouse club format
- Used merchandise
- Auction operations
- Cannabis (without approval)
- Manufacturing/industrial

4.5 Performance Standards

- Sales per SF targets
- Customer service scores
- Sustainability metrics
- Community engagement
- Innovation implementation

ARTICLE 5 - CONSTRUCTION

5.1 Landlord's Shell Work

\$2,100,000 shell delivery includes:

- Complete building shell
- Site work and parking
- Utility connections
- Stormwater management
- Base landscaping
- Code compliance

5.2 Tenant's Interior Work

Estimated \$8,000,000 build-out:

- Complete interior fit-out
- HVAC and mechanical systems
- Electrical and lighting
- Technology infrastructure
- Fixtures and equipment
- Signage package

5.3 TI Allowance

Landlord contributes \$1,260,000 (\$30 PSF):

- For permanent improvements
- Paid on completion
- Lien-free requirement

- Subject to approval

5.4 Sustainability Requirements

LEED Gold standards including:

- Solar panel readiness
- EV charging infrastructure
- Rainwater harvesting system
- Energy-efficient systems
- Sustainable materials
- Waste diversion program

5.5 Construction Period

- 65 days from shell delivery
- Coordination meetings weekly
- Approved contractors only
- Union labor requirements
- Daily cleanup required

ARTICLE 6 - MAINTENANCE AND REPAIRS

6.1 Tenant's Obligations

Tenant maintains entire Premises:

- All interior components
- HVAC systems (Tenant's)
- Electrical and plumbing
- Storefront and entries
- Technology systems
- Dock equipment

6.2 Landlord's Obligations

LANDLORD maintains:

- Roof structure/membrane
- Foundation and structure

- Parking lots/common areas
- **Building perimeter HVAC**
- Landscaping
- Site lighting

6.3 HVAC Responsibilities

LANDLORD'S HVAC DUTIES:

- Maintain four (4) 25-ton RTUs for common areas
- Quarterly service included
- Replacement when necessary
- Energy optimization
- Costs in Operating Expenses

TENANT'S HVAC DUTIES:

- Maintain dedicated interior units
- Approximately 120 tons capacity
- All service and replacement
- Energy management participation

6.4 Maintenance Standards

"Class A retail standards" - preventive focus with sustainability emphasis.

6.5 24/7 Maintenance

Landlord provides round-the-clock emergency response for critical systems.

ARTICLE 7 - INSURANCE AND RISK

7.1 Tenant's Insurance Matrix

Coverage	Limits	Special Provisions
CGL	\$5M/\$10M	Tech operations coverage
Property	Full replacement	Including earthquake
Business Income	24 months	Actual loss sustained
Auto	\$3M	Fleet coverage
WC	Statutory CA	Alternative program OK
Excess	\$50M	Following form
Cyber	\$25M	Data breach included
Professional	\$10M	Pharmacy/clinic

7.2 California Requirements

- Earthquake coverage required
- Wildfire coverage included
- CA admitted carriers only
- Waiver of subrogation
- Additional insured endorsements

7.3 Risk Management

- Annual insurance review
- Claims coordination
- Joint loss control
- Premium allocation
- Deductible sharing

ARTICLE 8 - DAMAGE AND CONDEMNATION

8.1 Casualty Rights

Damage Level	Repair Period	Options
<30%	<6 months	Must repair
30-60%	6-9 months	Mutual termination
>60%	Any period	Either terminates
Last 2 years	>90 days	Tenant may terminate

8.2 Earthquake Provisions

Special earthquake protocols given California location:

- Immediate inspection rights
- Expedited decision period
- Government assistance coordination
- Business continuity planning

8.3 Condemnation

- Total: Lease terminates
- Partial >25%: Tenant option
- Access loss: Tenant option
- Temporary: Rent abates

ARTICLE 9 - TRANSFERS

9.1 Assignment and Subletting

Landlord consent required (reasonable standard). Premium location requires:

- Equal/better credit
- Retail experience
- Brand compatibility
- Operational capability

9.2 Permitted Transfers

- Corporate family transfers
- Public company mergers
- Substantially all assets
- Franchisees (Skyline brand)

9.3 Tech Sector Flexibility

Given Bay Area dynamics, may assign to:

- Tech retailers
- Innovation centers
- Experiential retail
- Hybrid concepts

9.4 Transfer Premium

50/50 split after Tenant's documented costs including unamortized improvements.

ARTICLE 10 - DEFAULT AND REMEDIES

10.1 Monetary Default

10 days written notice. Chronic late = 2 in 6 months.

10.2 Operational Default

Going dark prohibited. \$50,000/month penalty plus full rent.

10.3 Remedies

California-compliant including:

- Termination and damages
- Recover possession
- Mitigation required
- No acceleration beyond 6 months
- Statutory compliance

10.4 Tenant Protections

- Notice and cure rights
- Force majeure defenses
- Offset for failures
- Injunctive relief
- Mediation option

ARTICLE 11 - SPECIAL PROVISIONS

11.1 Technology Initiatives

- 5G infrastructure ready
- Smart building integration
- IoT implementation
- Customer analytics sharing
- Innovation lab space

11.2 Sustainability Program

Mandatory participation:

- Zero waste goals
- Carbon neutrality plan
- Green transportation
- Renewable energy
- Water conservation
- Sustainable sourcing

11.3 Community Benefits

Required programs:

- Local hiring (30% minimum)
- Living wage compliance
- Workforce development
- School partnerships
- Nonprofit support

11.4 Transportation

- BART shuttle coordination
- Bike facilities required
- EV charging stations
- Rideshare zones
- Transit subsidies

11.5 Seismic Upgrades

Tenant acknowledges seismic standards. Participates in upgrades if required.

11.6 Bay Area Compliance

- SF ordinances applicable
- Healthcare requirements
- Scheduling regulations
- Wage and hour laws

- Environmental rules

ARTICLE 12 - GENERAL PROVISIONS

12.1 Notices

Landlord: Bay Area Commercial Properties One Market Plaza, Suite 3600 San Francisco, CA 94105 Attn: Asset Management Email: leasing@bayplaza.com

Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Attn: Real Estate Legal Email: legal-re@skylinestores.com

12.2 Governing Law

California law. San Francisco County venue.

12.3 Brokers

JLL and CBRE co-brokered transaction. Commissions per separate agreement. 4% total commission.

12.4 Estoppel

10 business days. Failure = acceptance. SNDA from lender within 120 days.

12.5 Memorandum

Recorded in San Francisco County. Short form prepared by Landlord.

12.6 Green Lease

Incorporates green lease provisions per **Exhibit L** including reporting and targets.

12.7 Anti-Terrorism

OFAC compliance required. Patriot Act representations. Annual certifications.

12.8 Confidentiality

Lease terms confidential except:

- SEC requirements
- Legal requirements
- Financing needs
- Permitted transfers

12.9 Digital Execution

DocuSign permitted. Counterparts valid. Electronic records sufficient.

SIGNATURES

LANDLORD: BAY AREA COMMERCIAL PROPERTIES By: Bay Plaza GP, LLC, its general partner

By: _____

Name: Steven Chang

Title: Managing Partner

Date: August 20, 2024

TENANT: SKYLINE STORES

By: _____

Name: Jennifer Walsh

Title: Chief Real Estate Officer

Date: August 20, 2024

GUARANTOR: SKYLINE STORES HOLDINGS, INC.

By: _____

Name: Robert Davis

Title: Executive Vice President

Date: August 20, 2024

EXHIBIT LIST

Exhibit A - Site Plan and Premises Outline **Exhibit B** - Shell Delivery Specifications **Exhibit C** - Tenant's Conceptual Plans **Exhibit D** - Signage Package and Criteria **Exhibit E** - Parking and Access Plan **Exhibit F** - Construction Rules and Procedures **Exhibit G** - Form of Guaranty **Exhibit H** - Rules and Regulations **Exhibit I** - Exclusive Use Radius Map **Exhibit J** - HVAC Zones and Responsibilities **Exhibit K** - Sustainability Requirements **Exhibit L** - Green Lease Provisions **Exhibit M** - Technology Standards **Exhibit N** - Community Benefits Agreement **Exhibit O** - Transportation Management Plan